

Today, Charlie continues as vice chairman of Berkshire Hathaway. In every way, he functions as Buffett's acknowledged co-managing partner and alter ego. To get a sense of how closely the two are aligned, you only have to count the number of times Buffett has reported that "Charlie and I" did this, or decided that, or believe this, or looked into that, or think this—almost as if "Charlie and I" were the name of one person.

To their working relationship, Charlie brought not only financial acumen, but also the foundation of business law. He also brought an intellectual perspective that is quite different from Buffett's. Charlie is passionately interested in many areas of knowledge—science, history, philosophy, psychology, mathematics—and believes each of those fields holds important concepts that thoughtful people can, and should, apply to all their endeavors, including investment decisions. To achieve "worldly wisdom," said Charlie, you must build a latticework of mental models that unites all the big ideas in the world.¹⁵ Those who want to fully appreciate the depth and breadth of Charlie's knowledge should read his wonderful book *Poor Charlie's Almanack: The Wit and Wisdom of Charles T. Munger* (Donning Co. Publishers, 2005).

Together, all these threads—financial knowledge, background in law, and appreciation of lessons from other disciplines—produced in Charlie an investment philosophy somewhat different from Buffett's. Whereas Buffett, unwaveringly dedicated to Ben Graham, continued to search for stocks selling at bargain prices, Charlie was moving toward the principles outlined by Phil Fisher. In his mind, it was far better to pay a fair price for a great company than a great price for a fair company.

How Charlie helped Buffett cross over the Rubicon of deep-value investing and begin to consider purchasing higher-quality companies is found in the story of Berkshire's acquisition of See's Candies.

In 1921, a 71-year-old grandmother named Mary See opened a small neighborhood candy shop in Los Angeles, selling chocolates made from her own recipes. With the help of her son and his partner, the business slowly grew into a small chain in southern and northern California. It survived the Depression, survived sugar rationing during World War II, and survived intense competition, through one unchanging strategy: Never compromise the quality of the product.